



Company Research Report

Prepared by

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Management Analysis BUS ADM 600

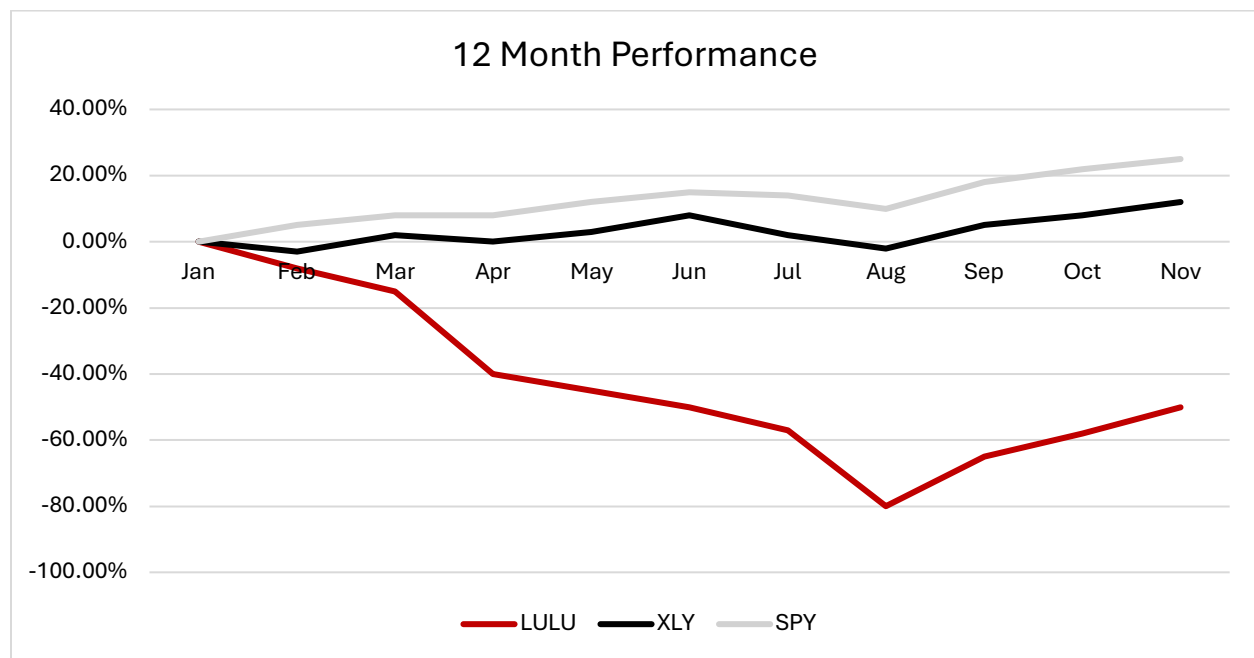
University of Wisconsin–Milwaukee | Lubar School of Business

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EXECUTIVE SUMMARY

lululemon athletica is a leading premium athletic apparel brand operating a direct-to-consumer model with industry-leading profitability. Women's apparel anchors the business, while men's and accessories have emerged as incremental growth drivers. International expansion, particularly in China, represents the most significant long-term opportunity, and the company's omnichannel platform supports customer engagement and margin stability.

Despite this, PPP Group (Profit Prophet Posse) would not recommend lululemon as an investment. lululemon has underperformed same-store sales estimates in five of the last six quarters, and North American revenue grew just 1% year-over-year with same-store sales declining 3%. Women's apparel has fallen from 69.6% to 63.9% of revenue over five years and is projected to decline toward 50%, reflecting structural softness rather than a temporary issue. The Breezethrough leggings recall in Q2 fiscal 2025 exposed meaningful product execution risk, and the rise of dupe products selling at as little as 20% of lululemon's price point directly threatens the premium positioning that underpins its margins. Decelerating core growth, persistent execution missteps, and pricing pressure from cheaper alternatives suggest the recent sell-off reflects fundamental deterioration rather than a temporary overreaction.



COMPANY OVERVIEW

Vision and Mission

lululemon's mission is to create products and experiences that help people unlock their full potential, expressed through its "Made to Feel" design philosophy, which blends high performance with high style using proprietary fabrics and construction techniques. The company's strategic vision is built around the Power of Three x2 framework, introduced in 2021, targeting doubled men's revenue, doubled e-commerce revenue, and quadrupled international revenue by 2026. In 2024, lululemon surpassed \$10 billion in annual revenue for the first time, marking a key milestone toward those goals. Central to the brand is its guest and community-centric model, operating across more than 750 stores and digital touchpoints, with over 1,700 global ambassadors supporting community engagement, co-creation, and brand awareness.

Business Segments and Corporate Structure

lululemon operates across three revenue segments: company-operated stores and e-commerce each contribute approximately 45% of total revenue, with the remaining 9% from other channels including pop-ups, wholesale, and outlets. The company operates 721 stores across 25 countries, with roughly 33% of annual revenue and 40% of operating profit generated in the fourth quarter. (*Appendix F*)

From a product standpoint, women's apparel is the core segment at over 60% of revenue, anchored by products like the Align leggings and Define jacket. Men's apparel is the fastest-growing clothing segment at approximately 28% of revenue, while accessories have expanded at a 43.9% CAGR since 2020. lululemon Studio, the company's digital fitness platform featuring the Mirror hardware and mobile app, had 17 million participants as of January 2024 and is reported within the other categories segment.

Revenue and Profit by Division

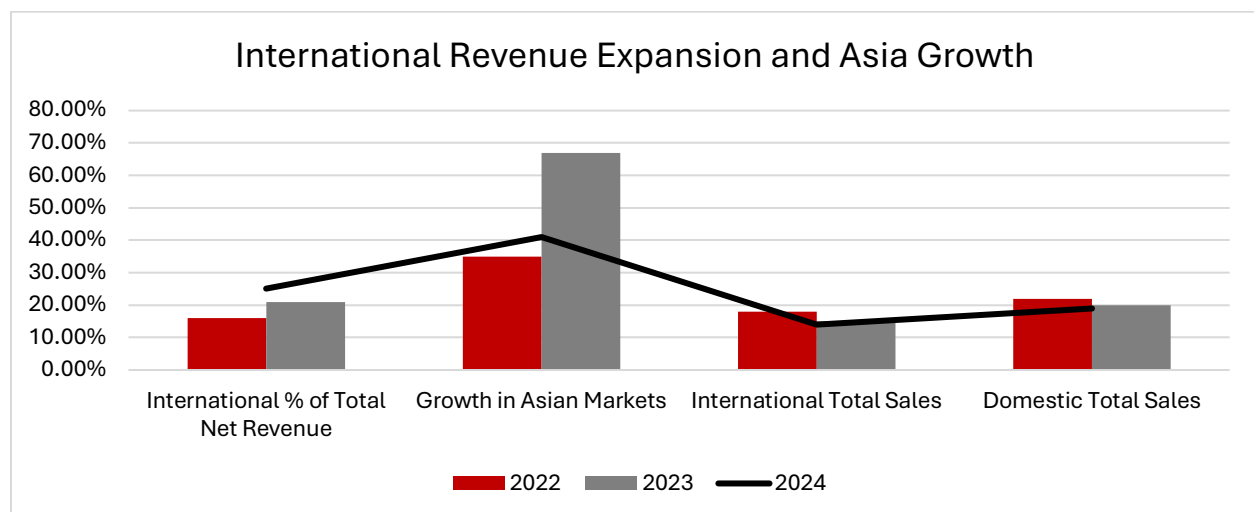
Women's apparel has consistently been lululemon's highest revenue-generating category, though its share of total revenue has declined from 69.6% to approximately 63.9% over the past five years as men's and accessories have grown. In fiscal year 2024, the women's category grew 9%, men's grew 14%, and other categories grew 10%, demonstrating a meaningful shift in revenue mix toward a more diversified base. The PPP Group projects women's apparel will decline toward 50% of revenue by the forecast horizon as men's and accessories continue to outpace it. The men's segment is projected to reach 27% of revenues and accessories 20%, driven by expanding product variety and international demand. While lululemon does not disclose margins by category, its consistent gross margin above 60% reflects premium pricing discipline across all segments.

International Operations and Global Strategy

lululemon's international expansion is its most significant long-term growth opportunity. As of fiscal year 2024, the U.S. represents 66% of revenue, Canada 13.4%, China Mainland 11.8%, and all other regions 8.9%, with international markets growing at a significantly faster pace than North America.

China Mainland surpassed \$1 billion in revenue in fiscal year 2024, growing 41% year-over-year, with same-store sales up 21% in Q2 fiscal 2025. China is projected to represent over 20% of total revenues by fiscal year 2029. Rest of World grew 27% in fiscal year 2024, marking ten years since lululemon's first European store opening.

Guided by the Power of Three x2 goal of quadrupling international revenues by 2026, lululemon added 56 net new stores in fiscal year 2024 and expects 40 to 45 more in fiscal year 2025, concentrated in international markets. The company also acquired its Mexico operations in 2024, transitioning to a fully company-operated model.



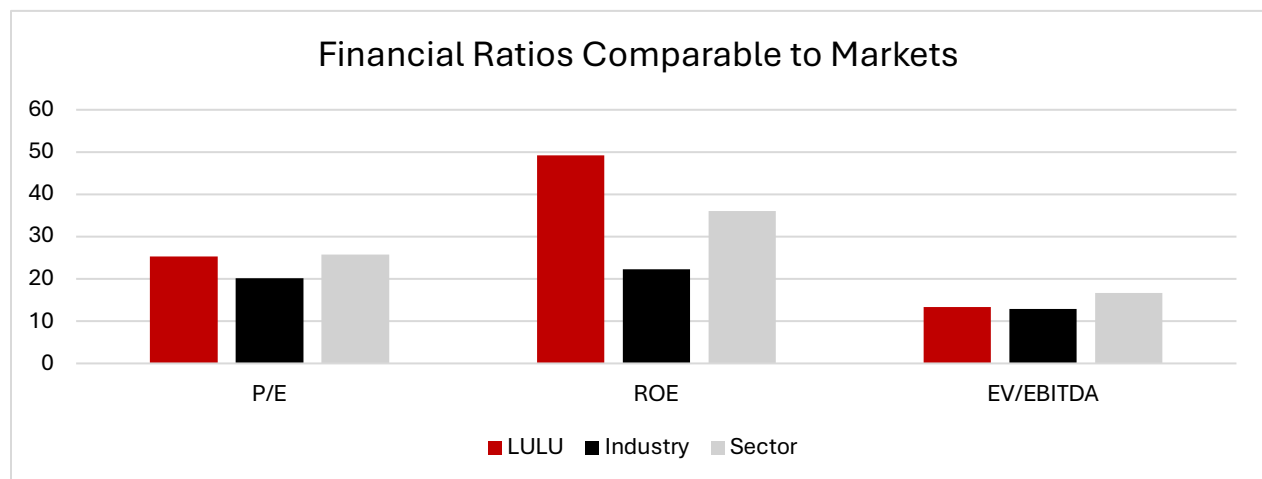
FIRM PERFORMANCE

lululemon has more than doubled total revenue over the past five years while expanding its store footprint by nearly 50%. In fiscal year 2024, the company surpassed \$10 billion in annual revenue for the first time, with adjusted EPS increasing 15% year-over-year and ending the year with \$2.0 billion in cash and no long-term debt. Despite this operational strength, shares declined approximately 50% from their June 2025 highs to approximately \$163 as of late April 2026, driven by leadership uncertainty, product missteps, and an active proxy battle.

Revenue and Earnings

lululemon's revenue growth has been driven by consistent expansion across all three channels. E-commerce has grown from 29% of total revenue in 2020 to approximately 45% in fiscal year 2024, recording a 39.5% CAGR over that period. In fiscal year 2024, company-operated store revenue increased 14% and e-commerce revenue increased 6%, with revenue per square foot reaching an industry-leading \$1,470. Gross margins have consistently exceeded 60% and operating margins have remained above 20%, though both have compressed modestly from 2020 peaks as investment in marketing and international expansion has increased. Earnings per share grew from \$7.52 in fiscal year 2022 to \$12.23 in fiscal year 2023, with \$14.03 projected for fiscal year 2024.

Key Financial Ratios



lululemon's key financial ratios (*Appendix G*) demonstrate clear outperformance relative to industry peers. The company's ROE of 49.2% nearly doubles the industry average of 22.3%, and its ROA of 28.1% exceeds the industry average of 20.2%, reflecting superior asset efficiency and returns driven by operating strength rather than leverage. P/E and EV/EBITDA multiples are broadly in line with sector averages, suggesting the market is not pricing in a significant premium despite lululemon's stronger underlying profitability.

Stock Price and Market Capitalization

As of November 2024, LULU traded at approximately \$309 with a market capitalization of \$39.3 billion. By late April 2026, shares had declined to approximately \$163, a roughly 50% drawdown from the June 2025 peak, driven by slowing North American demand, product execution challenges, and governance uncertainty. See Appendix B for the LULU stock price chart versus the S&P 500 and key competitors.

Market Share

lululemon holds approximately 7.9% market share in the broader apparel, footwear, and accessories industry, with its share projected to expand above 10% in the athleisure segment by fiscal year 2030. In accessories, lululemon holds just 1% market share, indicating significant runway but meaningful competitive exposure. Revenue per square foot of \$1,470 ranks among the highest in specialty retail, reflecting strong brand-driven demand and disciplined inventory management.

STRATEGIC ANALYSIS

VRIN Analysis

As seen in Appendix H, lululemon's most durable advantage is its brand equity and premium positioning. The "Made to Feel" philosophy, proprietary fabrics, and 1,700+ global ambassadors have built a brand identity that competitors have struggled to replicate, giving lululemon a meaningful structural head start over emerging rivals like Alo Yoga and Vuori.

PESTEL Analysis

The PESTEL analysis (*Appendix E*), highlights that lululemon's most pressing external challenges are political and economic, with tariff exposure across Southeast Asian supply chains and softening North American consumer spending. On the upside, athleisure and wellness tailwinds and a strong digital ecosystem provide meaningful support. The most significant emerging risks are environmental and legal, centered on the active PFAS investigation by the Texas Attorney General and the ongoing Chip Wilson proxy fight, both of which introduce uncertainty beyond the company's core operational challenges.

Strategic Group Analysis

The strategic group map (*Appendix C*) illustrates lululemon's positioning as a high price point brand with moderate product breadth relative to peers. Nike leads on product breadth while lululemon, Alo Yoga, and Vuori cluster at the premium end of the price spectrum, with Athleta and Under Armour occupying the mid-range across both dimensions.

Business-Level Strategy

lululemon pursues a focused differentiation strategy, targeting health-conscious, style-aware consumers willing to pay a significant premium for technical performance and brand identity. The company deliberately avoids promotional discounting, a practice that is central to competitors like Under Armour and Gap's Athleta, relying instead on product quality and community engagement to drive demand. This approach enables industry-leading gross margins above 62% while protecting brand equity. The

company's numbered sizing system, proprietary fabric development, and "Made to Feel" design philosophy all reinforce a differentiated product experience that is difficult for mass-market competitors to replicate at scale.

Corporate Strategy

lululemon's corporate strategy is organized around the Power of Three x2 framework, targeting doubled men's revenues, doubled e-commerce revenues, and quadrupled international revenues by 2026. As of Q2 fiscal 2025, the product innovation milestone had already been achieved, with fiscal year 2024 revenues at 2.36x the level of fiscal year 2022. The lululemon Studio acquisition has faced headwinds from the Mirror's high price point and has not become a primary growth driver, with management positioning it as a strategic hedge against retail cyclicity rather than a standalone revenue engine.

CORPORATE GOVERNANCE

Board of Directors

As of January 2024, 50% of lululemon's board identified as female. However, founder Chip Wilson launched a formal proxy fight in early 2026, filing to elect three independent director nominees at the 2026 Annual Meeting, arguing the board lacks the brand and product expertise necessary to lead a turnaround. Elliott Investment Management, holding a \$1 billion+ activist stake, had separately advocated for a different CEO candidate entirely.

CEO Compensation and Ownership

Calvin McDonald served as CEO from 2018 until January 2026, during which lululemon more than doubled revenue and expanded its store count by nearly 50%. The board named Heidi O'Neill as his replacement, effective September 2026. O'Neill spent 26 years at Nike as President of Consumer, Product, and Brand, though her appointment was met with a negative market reaction, with shares falling 5 to 7% in after-hours trading. Specific compensation figures should be referenced from the company's DEF 14A proxy statement.

Major Shareholders

Founder Chip Wilson is the largest active individual shareholder at approximately 8.6% of shares outstanding, with institutional ownership at 86.4%. Elliott Investment Management disclosed a \$1 billion+ activist stake in late 2025 and has been actively pushing for management and board changes. Additional major holders can be referenced from SEC Form 13-F filings.

RECOMMENDATIONS AND CONCLUSIONS

Would You Recommend lululemon as a Place to Work?

PPP Group would recommend lululemon athletica as a place to work. The company has built a culture that genuinely reflects its brand values, prioritizing employee wellbeing through eight consecutive years of pay equity, expanded parenthood benefits, and a work environment leadership has described as both high performance and high care. As of January 2024, 70% of executive leadership and 75% of the overall workforce identified as female, demonstrating a meaningful and sustained commitment to inclusion rather than surface-level diversity efforts.

The Impact Agenda, organized around the Be Human, Be Well, and Be Planet pillars, provides employees with a sense of purpose that extends beyond the product, which is a meaningful differentiator in today's labor market. The company's ambassador program, community-driven events, and collaborative go-to-market structure also suggest an organization that invests in its people and rewards engagement. While the current period of leadership transition and strategic uncertainty introduces some instability at the organizational level, the underlying culture and employee experience at lululemon remain strong.

For candidates who value a mission-driven environment, strong upward mobility, and a brand with genuine community impact, PPP Group views lululemon as a compelling place to build a career.

Would You Recommend lululemon as an Investment?

PPP Group would not recommend lululemon as an investment. While the company's brand and financial metrics remain strong on paper, the advantage is under increasing pressure from dupe products and agile competitors like Alo Yoga and Vuori. Decelerating same-store sales, persistent product execution missteps, a leadership transition with no permanent CEO until September 2026, and an active proxy fight compound the risk at exactly the wrong time. The business quality that once made lululemon a compelling opportunity now appears to be the floor, not the ceiling, and we do not believe the current risk profile warrants a buy recommendation.

Outlook and Monitoring

PPP Group believes the window for a clean recovery is narrowing. North American women, lululemon's primary consumer base, have expressed significant dissatisfaction with the company's product assortment, opening the door for lower-priced alternatives and dupe products to gain traction among once-loyal customers. While international growth and men's expansion represent legitimate long-term opportunities, PPP Group views these as insufficient to offset structural softness in the core segment within any reasonable investment horizon. Persistent same-store sales misses, high-profile product recalls, and an extended CEO transition compound the risk profile at a time when the stock has already sold off significantly. PPP Group maintains a BEARISH outlook on lululemon athletica.

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APPENDIX

Appendix A: Financial Statements Summary

2024 Balance Sheet:

lululemon athletica inc.
CONSOLIDATED BALANCE SHEETS
(Amounts in thousands, except per share amounts)

	February 2, 2025	January 28, 2024
ASSETS		
Current assets		
Cash and cash equivalents	\$ 1,984,336	\$ 2,243,971
Accounts receivable, net	120,173	124,769
Inventories	1,442,081	1,323,602
Prepaid and receivable income taxes	182,253	183,733
Prepaid expenses and other current assets	251,459	184,502
	3,980,302	4,060,577
Property and equipment, net	1,780,617	1,545,811
Right-of-use lease assets	1,416,256	1,265,610
Goodwill	159,518	24,083
Intangible assets, net	11,673	—
Deferred income tax assets	17,085	9,176
Other non-current assets	237,841	186,684
	\$ 7,603,292	\$ 7,091,941
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities		
Accounts payable	\$ 271,406	\$ 348,441
Accrued liabilities and other	559,463	348,555
Accrued compensation and related expenses	204,543	326,110
Current lease liabilities	275,154	249,270
Current income taxes payable	183,126	12,098
Unredeemed gift card liability	308,352	306,479
Other current liabilities	37,586	40,308
	1,839,630	1,631,261
Non-current lease liabilities	1,300,637	1,154,012
Non-current income taxes payable	—	15,864
Deferred income tax liabilities	98,188	29,522
Other non-current liabilities	40,790	29,201
	3,279,245	2,859,860
Commitments and contingencies		
Stockholders' equity		
Undesignated preferred stock, \$0.01 par value: 5,000 shares authorized; none issued and outstanding	—	—
Exchangeable stock, no par value: 60,000 shares authorized; 5,116 and 5,116 issued and outstanding	—	—
Special voting stock, \$0.000005 par value: 60,000 shares authorized; 5,116 and 5,116 issued and outstanding	—	—
Common stock, \$0.005 par value: 400,000 shares authorized; 116,166 and 121,106 issued and outstanding	581	606
Additional paid-in capital	638,190	575,369
Retained earnings	4,109,717	3,920,362
Accumulated other comprehensive loss	(424,441)	(264,256)
	4,324,047	4,232,081
	\$ 7,603,292	\$ 7,091,941

2024 Statement of Cash Flows:

lululemon athletica inc.
CONSOLIDATED STATEMENTS OF CASH FLOWS

(Amounts in thousands)

	Fiscal Year Ended		
	February 2, 2025	January 28, 2024	January 29, 2023
Cash flows from operating activities			
Net income	\$ 1,814,616	\$ 1,550,190	\$ 854,800
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	446,524	379,384	291,791
lululemon Studio obsolescence provision	—	23,709	62,928
Impairment of goodwill and other assets, restructuring costs	—	74,501	407,913
Gain on disposal of assets	—	—	(10,180)
Stock-based compensation expense	90,011	93,560	78,075
Derecognition of unredeemed gift card liability	(36,231)	(28,547)	(23,337)
Settlement of derivatives not designated in a hedging relationship	(47,763)	32,527	(38,649)
Deferred income taxes	57,451	(28,383)	3,042
Changes in operating assets and liabilities:			
Accounts receivable	1,626	6,580	(58,987)
Inventories	(156,085)	66,584	(573,438)
Prepaid and receivable income taxes	(2,031)	1,908	(66,714)
Prepaid expenses and other current assets	(71,789)	40,587	(54,833)
Other non-current assets	(73,205)	(53,280)	(36,518)
Accounts payable	(57,044)	177,367	(107,280)
Accrued liabilities and other	193,139	(71,734)	65,364
Accrued compensation and related expenses	(112,110)	70,327	47,254
Current and non-current income taxes payable	157,205	(173,196)	35,986
Unredeemed gift card liability	42,410	84,315	68,266
Right-of-use lease assets and current and non-current lease liabilities	23,501	37,535	23,905
Other current and non-current liabilities	2,488	12,230	(2,925)
Net cash provided by operating activities	2,272,713	2,296,164	966,463
Cash flows from investing activities			
Purchase of property and equipment	(689,232)	(651,865)	(638,657)
Settlement of net investment hedges	50,213	(1,609)	47,804
Acquisition, net of cash acquired	(154,146)	—	—
Other investing activities	(5,009)	(658)	20,916
Net cash used in investing activities	(798,174)	(654,132)	(569,937)
Cash flows from financing activities			
Proceeds from settlement of stock-based compensation	19,813	42,430	11,704
Taxes paid related to net share settlement of stock-based compensation	(35,410)	(32,574)	(35,158)
Repurchase of common stock	(1,636,879)	(558,652)	(444,001)
Other financing activities	(32)	(32)	(32)
Net cash used in financing activities	(1,652,508)	(548,828)	(467,487)
Effect of foreign currency exchange rate changes on cash and cash equivalents	(81,666)	(4,100)	(34,043)
Increase (decrease) in cash and cash equivalents	(259,635)	1,089,104	(105,004)
Cash and cash equivalents, beginning of period	\$ 2,243,971	\$ 1,154,867	\$ 1,259,871
Cash and cash equivalents, end of period	\$ 1,984,336	\$ 2,243,971	\$ 1,154,867

Historical Cash Flows:

lululemon athletica inc

Historical Cash Flow Statement

in millions (mm), except share data

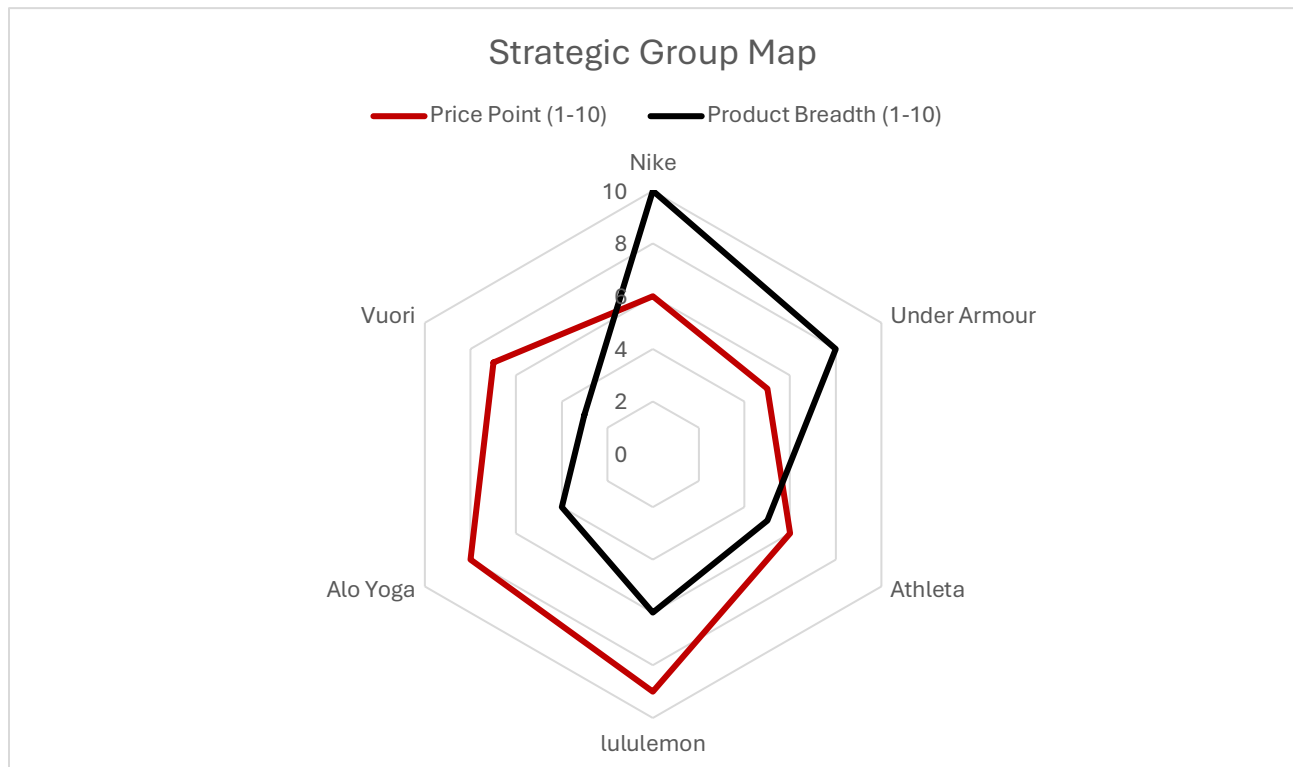
Fiscal Years Ending Jan. 31

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Cash flows from operating activities:										
Net income (loss)	239	266	303	259	484	646	589	975	855	1,550
Depreciation & amortization	58	73	88	108	122	162	185	224	292	379
Impairment of goodwill & other assets	-	-	-	12	-	-	-	-	408	75
Loss (gain) on disposal of assets	-	-	-	-	-	-	-	-	(10)	-
Stock-based compensation expense	8	12	16	18	29	46	51	69	78	94
Derecognition of unredeemed gift card liability	(1)	(4)	(5)	(6)	(7)	(12)	(14)	(19)	(23)	(29)
Settlement of derivatives not designated in a hedging relationship	-	-	-	6	(15)	(2)	4	15	(39)	33
Deferred income taxes	2	11	(18)	(11)	17	24	35	(5)	3	(28)
Changes in operating assets and liabilities:										
Inventories	(27)	(83)	(5)	(21)	(86)	(118)	(97)	(324)	(511)	67
Prepaid & receivable income taxes	(15)	(52)	12	32	(0)	(36)	(54)	20	(67)	2
Prepaid expenses, other current & non-current assets	(9)	(4)	(7)	(8)	(31)	(82)	(120)	(100)	(150)	(6)
Accounts payable	(2)	1	14	(2)	72	(15)	83	118	(107)	177
Accrued liabilities & other	-	-	-	-	-	-	-	104	65	(72)
Accrued compensation & related expenses	12	15	10	13	42	25	(7)	75	47	70
Current & non-current income taxes payable	19	19	(10)	32	46	(34)	(24)	121	36	(89)
Unredeemed gift card liability	11	17	16	17	25	33	48	71	68	-
Right-of-use lease assets, current & non-current lease liabilities	-	-	-	-	-	17	13	13	24	38
Other current & non-current liabilities	19	27	(29)	41	45	14	110	30	(3)	36
Net cash flows from operating activities	314	299	385	489	743	669	803	1,389	966	2,296
Cash flows from investing activities:										
Purchase of property & equipment	(120)	(143)	(150)	(158)	(226)	(283)	(229)	(395)	(639)	(652)
Settlement of net investment hedges	-	-	-	(7)	(16)	0	(15)	(23)	48	(2)
Acquisition, net of cash acquired	-	-	-	-	-	-	(453)	-	-	-
Other investing activities	-	-	-	(8)	(1)	4	1	(10)	21	(1)
Net cash flows from investing activities	(120)	(143)	(150)	(173)	(243)	(278)	(696)	(428)	(570)	(654)
Cash flows from financing activities:										
Proceeds from settlement of stock-based compensation	3	5	7	6	18	18	15	18	12	42
Shares withheld related to net share settlement of stock-based compensation	(5)	(4)	(2)	(3)	(9)	(22)	(32)	(50)	(35)	(33)
Repurchase of common stock	(147)	(274)	(29)	(100)	(598)	(173)	(64)	(813)	(444)	(559)
Other financing activities	-	(0)	(1)	-	(1)	-	-	(1)	(0)	(0)
Net cash flows from financing activities	(149)	(274)	(25)	(98)	(590)	(177)	(81)	(845)	(467)	(549)
Effect of foreign currency exchange rate changes on cash & cash equivalents	(80)	(45)	23	38	(19)	(2)	30	(7)	(34)	(4)
Increase (decrease) in cash & cash equivalents	(34)	(163)	233	256	(109)	212	57	109	(105)	1,089
Cash & cash equivalents, beginning of period	699	664	501	735	991	881	1,094	1,151	1,260	1,155
Cash & cash equivalents, end of period	664	501	735	991	881	1,094	1,151	1,260	1,155	2,244

Appendix B: Stock Price Chart



Appendix C: Strategic Group Map



Appendix D: Financial Model Inputs and Assumptions

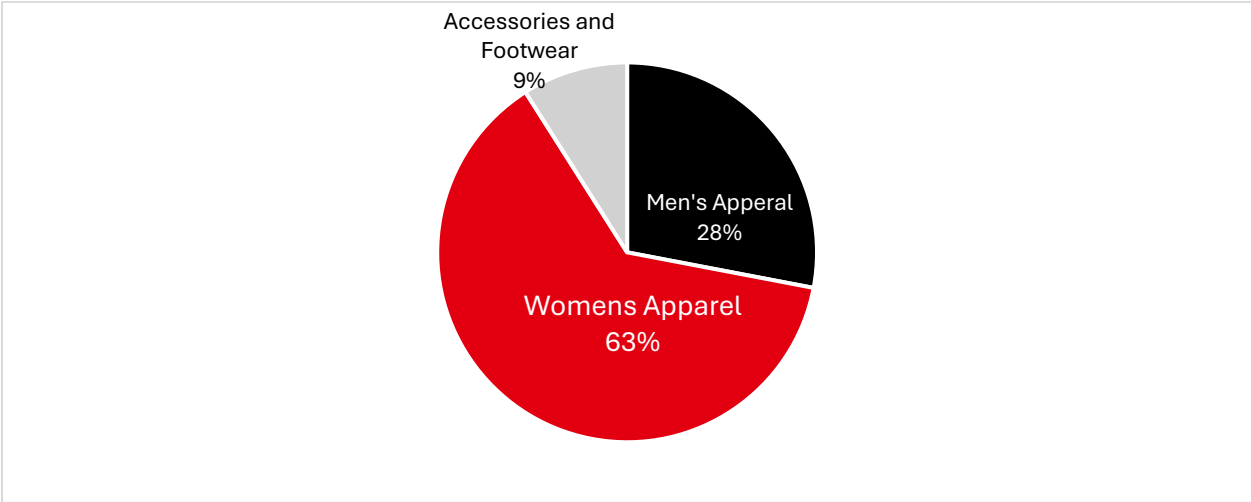
Cost of Equity		
Input	Value	Assumption
Risk-Free Rate	4.20%	YTM on 10Y Treasury bond
Beta	1.1	Average of 3-4 year monthly beta
Equity Risk Premium	5.00%	PPP Group Estimate
Cost of Equity	9.70%	
Cost of Debt		
Input	Value	Assumption
Risk-Free Rate	4.20%	YTM on 10Y Treasury bond
Implied Default Premium	1.20%	
Pre-Tax Cost of Debt	5.40%	10Y YTM on BBB rated corporate bonds
Marginal Tax Rate	26.00%	
After-Tax Cost of Debt	4.00%	
Capital Structure		
Component	Value (\$M)	MV Weight

Total Shares Outstanding	123.73	
Current Stock Price	\$309.00	
MV of Equity	38,231	96.46%
Current Lease Liabilities	249	
Non-Current Lease Liabilities	1,154	
MV of Total Debt	1,403	3.54%
Market Value of the Firm	39,635	100.00%
Estimated WACC:	9.50%	

Appendix E: PESTEL Analysis

Factor	Key Considerations for lululemon
Political	U.S. tariff and trade policy uncertainty poses direct supply chain risk, as the majority of lululemon's manufacturing vendors are based in Cambodia, China, Sri Lanka, Taiwan, and Vietnam. New import duties could meaningfully pressure cost of goods sold, a risk the company flagged in its 2024 annual report.
Economic	Premium-priced athletic apparel is among the first categories impacted in economic downturns, and lululemon's 3% North American same-store sales decline in Q2 fiscal 2025 reflects this sensitivity, even as China grew 21% in the same period.
Social	The athleisure and wellness trends remain tailwinds, and lululemon is well-positioned to benefit from growing male participation in fitness. However, founder Chip Wilson has publicly stated the brand has lost its cool among its core female demographic, a risk that warrants monitoring.
Technological	The lululemon Studio platform and mobile app are meaningful differentiators, with the app widely recognized as one of the most user-friendly in retail. Online fitness is projected to grow at an 11.3% CAGR through 2030, supporting the Studio ecosystem long term.
Environmental	lululemon's Impact Agenda targets sustainable raw materials and climate action. In April 2026, Texas AG Ken Paxton opened a PFAS investigation into whether lululemon's apparel contains forever chemicals that contradict its health-and-wellness positioning. lululemon states it phased out PFAS in fiscal year 2023, but the investigation remains ongoing.
Legal	lululemon faces significant governance risk from Chip Wilson's active proxy fight, in which he has filed to elect three director nominees at the 2026 Annual Meeting, citing a 65.9% decline in shareholder value and approximately \$17 billion in lost market value. Elliott Investment Management has also taken a \$1 billion+ activist stake. The outcome of the 2026 Annual Meeting could materially alter board composition and strategic direction.

Appendix F: Business Segments



Appendix G: Key Financial Ratios and Overview

Metric	FY2024	Industry Avg.
Revenue (\$B)	\$10.0+	Not Comparable
Operating Margin	22.9%	9.5%
Gross Margin	62.3%	45%
ROA	28.1%	20.2%
ROE	49.2%	36.1%
P/E Ratio (TTM)	25.3x	20.2x
EV/EBITDA	13.4x	12.9x
EPS	\$14.03E	Not Comparable

Appendix H: VRIN Analysis

Resource / Capability	Valuable	Rare	Inimitable	Non-Sub.
Brand Equity & Premium Positioning	Yes	Yes	Yes	Yes
Community & Ambassador Model	Yes	Yes	Partially	Partially
Proprietary Fabrics (e.g., Luon)	Yes	Yes	Yes	Partially
Omnichannel & DTC Ecosystem	Yes	Partially	Partially	Partially
International Presence (China)	Yes	Partially	No	No

Appendix I: Stock Price Data Table

Company / Index Performance	2020	2021	2022	2023	2024	2025
lululemon athletica inc.	\$ 100.00	\$ 137.30	\$ 131.96	\$ 129.85	\$ 199.69	\$ 173.02
S&P 500 Index	\$ 100.00	\$ 115.15	\$ 137.40	\$ 126.20	\$ 151.63	\$ 187.27
S&P 500 Apparel, Accessories & Luxury Goods Index	\$ 100.00	\$ 95.81	\$ 92.79	\$ 65.40	\$ 52.91	\$ 56.14

Appendix J: International Sales Growth Data Table

Segment	2022	2023	2024
International % of Total Net Revenue	16.00%	21.00%	25.00%
Growth in Asian Markets	35%	67%	41%
International Total Sales	18%	15%	14%
Domestic Total Sales	22%	20%	19%

Appendix K: Sales Growth Data Table

Sales Growth	2022	2023	2024
Growth in Men's Apparel	42.10%	29.60%	18.60%
Growth in Women's Apparel	18%	15%	14%
Growth in Asian Markets	22%	20%	19%